

slight tilt to the trendline, do not worry as long as it does not disturb the overall appearance of a congestion region.

**Touches.** To qualify as a rectangle, price must touch the trendlines at least five times. That's three touches of one trendline and two of the other. The touches need not alternate from one trendline to the other, but the minor highs and lows must be distinct. Price must also cross the pattern from top to bottom plenty of times to erase the whitespace. Avoid connecting two peaks and two valleys and calling it a rectangle.

**Table 52.1** Identification Guidelines

| Characteristic        | Discussion                                                                                                                                                     |
|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Appearance            | Price moves horizontally for weeks or months, bouncing between a layer of support and a ceiling of resistance until eventually breaking out.                   |
| Price trend           | The short-term price trend leading to the rectangle top should be up.                                                                                          |
| Horizontal trendlines | Two horizontal (or nearly so) trendlines outline the price action, one above the minor highs and one below the minor lows.                                     |
| Touches               | There should be at least five touches of the trendlines (three on one side and two on the other). Price must cross the pattern enough to cover the whitespace. |
| Volume                | Volume usually recedes until the breakout.                                                                                                                     |
| Breakout direction    | Can be any direction. A breakout occurs when price closes outside one of the trendline boundaries.                                                             |
| Duration              | Usually longer than 3 weeks to distinguish it from a flag. If shorter than 3 weeks, the rectangle top should <i>not</i> be preceded by a flagpole.             |

**Volume.** The volume trend varies from rectangle to rectangle but usually recedes. Many of the charts accompanying this chapter show such a trend.

**Breakout direction.** Price can break out in any direction it feels like, but favors upward. That's true for both bull and bear markets.